



- Does your portfolio consist of a few winners followed by a long list of losers?
- Do you sell your winners fast and hold on to losers?
- Do you make important spending decisions based on your past spending?

If your answer to all the questions is yes, then you are a victim of Loss Aversion and Sunk Cost Fallacy. The following suggestions will enable you to make wiser investment decisions in the future.

Check Your Appetite for Loss

Start with the assumption that you are probably more sensitive to losing money than you actually think. This will help you to avoid making decisions that you will regret later. Your earlier success may not necessarily mean you have made smart decisions. It is important to assess your level of loss aversion and risk tolerance to improve your ability to make smart investments. As mentioned earlier loss aversion can have two different reactions. The first reaction is related to the pangs that come with stock market volatility. Ask yourself whether you will exit the stock market at the first sign of trouble. If tomorrow the market drops by 20 per cent, will you be tempted to take your money out and invest in bonds? If your answer is yes then your level of loss aversion is high and you are not prepared for the ups and downs of the market. The second reaction is to hold on to the losers and sell the winners. Consider the following situation. You own Rs. 50000 worth of Wipro stock, which you bought for Rs. 25000, and Rs. 50000 worth of TELCO stock, which you had bought for Rs. 100000. Now you need Rs. 50000 urgently. Which stock would you sell?

If you choose to sell Wipro then like most of us you suffer loss aversion, which makes you sell the winners and hold on to the losers. The best strategy under such circumstances would be to sell half of each and avoid paying taxes.

Diversify within Asset Classes and Across Assets

The best way to avoid the pain of losing is to avoid losing money. There is no foolproof solution to that but there are ways to